Chapter Fifty-One

Reforms of Land and Labour

Land Reforms

Requisites of a Post-Agricultural Economy

The non-agricultural economy has been expanding faster.

Industry requires only a fraction of land to produce the same amount of value addition. Services require even less land to produce an equal amount of value addition. The services economy, however, runs on large infrastructure. It also requires a lot of social infrastructure, such as houses, schools, hospitals and numerous other facilities. Urbanization is the result of the services economy.

Land is required for the construction of infrastructure and urban facilities to meet housing and other requirements of managers and workers of the non-agricultural economy.

All this, however, requires much less land than agriculture. Even today, as noted earlier, less than 1 per cent of land in India is occupied for non-agricultural economic use, while it produces over 80 per cent of GDP and provides infrastructure and housing for more than one-third of the people. The productivity of land use in industry, infrastructure, services and urbanization is 200 times the productivity in agriculture.

It should be a no-brainer that we liberally allow the transfer of land from agricultural to non-agricultural use. Unfortunately, there are massive misgivings about the land required for non-agricultural use. There is a widely shared, though completely unfounded, feeling that such a transfer would hurt agriculture and farmers. Thus, the transfer of agricultural land